

CRNC

CRNC N/A

Hold	\$10.77 ▲ 7.70%	12M Price Target \$11.50	52-Week Range \$5.85 – \$13.74	Market Cap \$487M
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CRNC: Reiterate Hold; BYD LLM Expansion Offsets Q2 Miss

WHAT'S CHANGED

- CRNC closed +7.70% to \$10.77 on outsized volume of ~2.0M shares (3-4x recent avg), pushing stock to 62% of 52-wk range with bullish options flow (P/C 0.26, unusual July \$12 call buying at 2.3x OI).
- No new SEC filings; tape action appears driven by sector tailwind (XLK +3.04% 1D) and lingering positive read-through from BYD LLM partnership expansion announced May 7.

IMPLICATIONS

Today's volume spike and call-skew suggest positioning ahead of a perceived inflection — likely tied to the BYD LLM in-car AI expansion and broader Tech sector risk-on rotation rather than fundamentals (Q2 missed estimates on May 8). For CRNC, the read-through is that the market is beginning to credit the CaLLM/generative AI pivot with optionality value beyond the declining legacy fixed-license book, which is the central re-rating debate. Sustained follow-through requires Q3 evidence of Connected Services growth offsetting legacy roll-off.

VALUATION

At \$487M market cap on ~\$238M FY26E revenue, CRNC trades at ~2.0x EV/Revenue — a discount to SOUN (~15x) reflecting slower growth and auto-cyclicality, but a premium to legacy-software comps. Our \$11.50 PT implies ~7% upside on 2.2x FY27E EV/Sales; multiple expansion to 3x is contingent on Connected Services ARR inflection and gross margin stabilization above 70%. Downside to \$8 base case if fixed-license attrition accelerates.

KEY RISKS

- Legacy fixed-license revenue cliff as OEM contracts roll off faster than Connected Services ramps
- Competitive displacement by SOUN, Google Automotive Services, and OEM-internal LLM stacks (e.g., Mercedes MB.OS)
- Global auto SAAR weakness and EV transition disruption to royalty-per-vehicle economics

RECENT NEWS

- Why SoundHound's Pipeline Growth Matters for the SOUN Stock** Zacks · 2026-05-22 14:25
- Is SoundHound Stock Still a Strong AI Play After the Q1 Selloff?** Zacks · 2026-05-13 15:10
- Cerence (CRNC) Q2 Earnings Miss Estimates** Zacks · 2026-05-08 02:25
- Cerence (CRNC) Q2 2026 Earnings Transcript** Motley Fool · 2026-05-07 22:38
- Cerence (CRNC) Expands BYD Partnership for LLM-Powered In-Car AI** Insider Monkey · 2026-05-07 14:59

Langston's | Equity Research Coverage

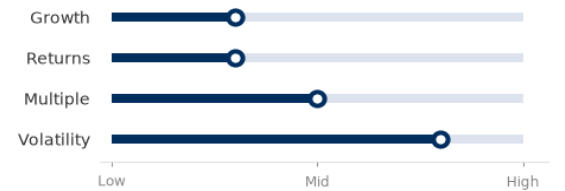
AI-Generated Pre-Market Brief | 2026-06-19 16:48 UTC

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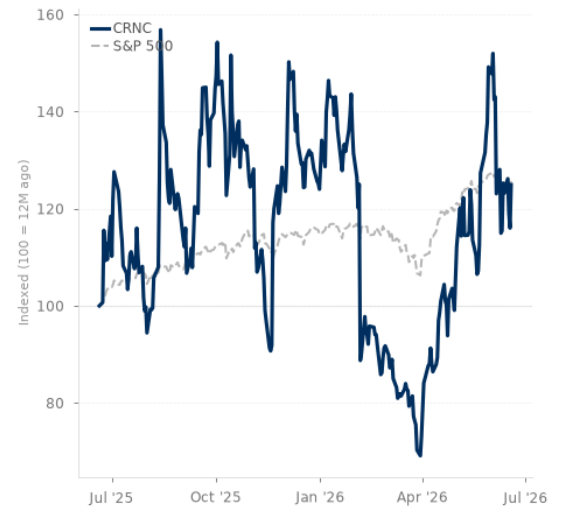
Key Data

Price (USD)	\$10.77
12M Price Target	\$11.50
Upside / (Downside)	+6.8%
Market Cap	\$487M
FY2026E Revenue	\$238M
FY2027E Revenue	\$252M
FY2026E EPS	(\$0.45)
FY2027E EPS	(\$0.15)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$12.50	\$11.00	\$9.50
6 Months	\$14.00	\$11.50	\$8.00
1 Year	\$16.50	\$12.00	\$7.00
2 Years	\$20.00	\$13.50	\$6.00
5 Years	\$28.00	\$16.00	\$4.00
10 Years	\$40.00	\$22.00	\$3.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology (+3.04% 1D / +4.49% 5D), Consumer Discretionary (+1.45% 1D)

COLD SECTORS: Real Estate (-0.25% 1D / -2.36% 5D), Communication Services (-2.38% 5D)

ROTATION WATCH: Risk-on rotation into Tech with auto-adjacent Discretionary firming suggests small-cap AI names with auto exposure get a second look as institutional money rotates from defensives.

BYPRODUCT PLAY: As OEMs accelerate in-car AI/LLM integration, edge-inference semis (QCOM, AMBA) and auto-grade compute (NVDA DRIVE) capture the spillover; CRNC is a software-layer beneficiary but not the primary monetizer.

OUTPERFORMERS & PEER CONTEXT

- SOUN (SoundHound AI): Trading at ~15x sales vs CRNC's 2x on superior revenue growth (~80%+ YoY) and pipeline narrative
- QCOM (Qualcomm): Snapdragon Digital Cockpit design wins compounding faster than CRNC's voice-only TAM

CRNC CONTEXT: CRNC continues to lag SOUN on growth narrative but is closing the relative valuation gap; today's move is a beta-catch-up, not a fundamental break-out. Stock remains in middle of 52-wk range, suggesting consolidation rather than trend reversal.

INVESTMENT STRATEGY

5/10 Conviction Score

Position Size: 1-2% of portfolio

Entry Points: \$9.00-9.75 on pullback to support

Time Horizon: 12-18 months

Thesis Invalidation: Loss of major OEM (BYD, Mercedes, BMW) or fixed-license revenue decline >25% YoY

Hedging: Pair long CRNC vs short SOUN to neutralize voice-AI beta